



JPK

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ARAS 7 & 8 BLOK D4, KOMPLEKS D
PUSAT PENTADBIRAN KERAJAAN PERSEKUTUAN
62530 PUTRAJAYA**

KERTAS PENERANGAN
(*INFORMATION SHEET*)

KOD DAN NAMA PROGRAM / <i>PROGRAM'S CODE AND NAME</i>	Z-009-4: 2015 CORE ABILITIES	
TAHAP / LEVEL	4 (FOUR)	
NO. DAN TAJUK KEBOLEHAN TERAS / <i>CORE ABILITY NO. AND TITLE</i>	CA01 ORGANISATIONAL BEHAVIOUR AWARENESS	
NO. DAN PENYATAAN KEBOLEHAN / <i>ABILITY NO. AND STATEMENT</i>	01.01 ADHERE TO CONCEPTUAL FRAMEWORK OF THE ORGANIZATION 01.02 ENHANCE SUCCESSFUL TEAMWORK. 01.03 DEMONSTRATE WORK DELEGATION CAPABILITY. 01.04 ENSURE SYSTEMATIC DOCUMENTATION. 01.05 ENCOURAGE ORGANIZATION EVENT COORDINATION. 01.06 COMPLY WITH TRAINING REQUIREMENT PROCEDURES. 01.07 RECOGNIZE STAFF VERTICAL MOBILITY POTENTIAL.	
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TAJUK/TITLE : ORGANIZATION FRAMEWORK

TUJUAN/PURPOSE :

This Information Sheet is intended to describe on the organisational behaviour awareness behavior within adhere to conceptual framework of the organization in the practice. The person who is competent in this CA shall be able to handle all organisational behaviour awareness in accordance with required standards and recommended practices.

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PENERANGAN/INFORMATION :

1. Definition

A business organization is one or more businesses controlled in common by a person or group of people. An organization may have one or more businesses. A business may not have more than one organization. Even in the case of franchises, the franchisor is a different business model than the franchisee, even though they exist symbiotically in the same value system. The contractual relationships that bind them differ significantly from the employer-employee relationship that exists within the organization. Business and organization are inseparable. They are simply two aspects of the one thing. For example, note the impact of culture (organizational DNA) on business success or failure. Therefore, *business* and *organization* are melded together into *business organization* as the subject of strategy and strategic management.

1.1 Why business organizations exist

- i) Business organizations form to minimize transaction costs over the transactions costs of a network of freelance contractors. The firm eliminates at least two costs it would have if it instead used the price mechanism to ""organize"" production: (1) discovering what relevant prices are, and (2) the costs of negotiating and concluding a separate contract for each exchange transaction. This includes the cost of incomplete contracts and ""hold-up"" problem of a unique asset owner threatening to back-out unless they get a better deal.
- ii) Organizations are a vehicle for collective learning, providing a collective storehouse of wisdom, capabilities, and business model designs. An organization exists for a purpose. Hopefully for a moral purpose, or ideal, that is never fully achieved. The organization's pursuit of its purpose requires a structure for cooperation to endure for long periods of time, beyond the people's tenure in the organization. Enduring beyond the tenure of individuals enables more effective pursuit of purpose, with more complex business models, than could be attained if all people were freelance contractors.

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1.2 Objective of business organizations

If organization does not have endurance as a guiding principle, the organization members will not be inspired to invest themselves in perpetuating it. Members commit to organizations to the degree organizations commit to them. An organization's long-term commitment releases member's energy and creativity with the inferred promise of long-term engagement and rewards.

1.3 Nature of business organizations

Recognizing that organizations are not machines, but complex self-organizing systems, the principles and methods for effective management, leadership, and change do not fit the command and control model that has been so prevalent in much of management training and practice. See self-organization.

1.4 Business organization design

The flip-side of strategy is business design. The strategy is the actions and their objectives while the business organization design reflects the intended result of those actions. Business design serves both as a stimulus to strategy development, strategy validation, and the design itself, as a documentation of the hypotheses of the strategy.

Given that competitive advantage is temporal, business organizations must be continually redesigned and transformed in order sustain advantage. In order to develop an effective design process, the essential attributes of the business organization must be identified. From systems science we find that a business organization best fits what is described as a social system. The construct of a social system provides the basis for legitimate inquiry of a business organization.

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2. Types of Business Organizations

Once you've identified the nature and type of operation the business runs, the next thing you need to know is what type of organization the business was formed.

Manufacturing, merchandising and service businesses are commonly organized and formed as either of the following:

2.1 Proprietorship

It's a type of business organization that is owned by a single individual. The individual or person who owns this type of business is referred to as *Proprietor*. It is the most common and popular type of business organization because it is easier and cheaper to organize. However, the primary disadvantage of proprietorship is that the business resources are limited to the single owner's resources. Also, the owner assumes all the risk, liability and decision making of the business. Small businesses like repair shops, laundries, restaurants, and professional services are organized as proprietorship.

2.2 Partnership

As a business grows bigger, it needs more financial, people and managerial resources. Two or more individuals may join together and form a business called partnership. The group of individuals who own the partnership business is referred to as Partners. Partnership is a type of business organization that is owned by two or more individuals. It is a little harder and more expensive to organize than the proprietorship. The benefit, however, is that the risk, liability and management is shared by group of individuals, depending on the percentage of ownership agreed upon.

There are many small and medium-size businesses such as repair shops, laundries, and professional firms that are organized as partnership. The difference it has from proprietorship is that it is owned by more than one individual and the requirements of organizing a partnership is more tedious than a proprietorship.

3.3 Corporation

It's a type of business organization that is owned by shareholders and it is structured as a separate legal entity under the operation of law. The ownership of a corporation is divided into shares of stock. A corporation issues the stock to

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individuals or other businesses, who then become owners or stockholders, of the corporation.

The benefit of the corporation is that the risk and liability is not shouldered by the owners called as stockholders. And the management or decision making is shared by the board of directors. Also, it is easier to increase resources of the business by means of issuing stock. Large size businesses usually form a corporation because of its complexity and high need of resources.

2. Company Size and Organizational Structure

Organizational design can be defined narrowly as the strategic process of shaping the organization's structure and roles to create or optimize competitive capabilities in a given market. This definition underscores why it is important for companies to identify the factors of the organization that determine its ideal structure—most specifically the size, scope, and operational initiatives of the company.

Company size plays a particularly important role in determining an organization's ideal structure: the larger the company, the greater the need for increased complexity and divisions to achieve synergy. The organizational structure should be designed in ways that specifically optimize the effort and input compared to output. Larger companies with a wider range of operational initiatives require careful structural considerations to achieve this optimization.

2.1 Size of the Organization and Information Requirements

i) Small Organizations

Small organizations usually have simple management structure. The need invariably grows from the limited scope and operations of management. Since tasks to be handled are usually limited and manageable, hence need for introducing more levels is not required. Since operations can be managed at the top level by one or two members of the senior management, officers from the lower level of management are not usually involved in decision making. Hence the final decisions are centrally taken.

Examples of Information requirements of Small Organizations

- Day to day transactions
- Daily Sale
- Cash management
- Receivables and Payables

ii) Medium Sized Organizations

Medium Sized organizations are normally a family ownership run by brothers, father-son. There are many organizations existing these days which are being run by the family members. The prime concern may be the trust already fostered among the blood relations but this might give rise to informal relationship among them. Since all critical managerial positions are usually controlled by the family members, information is structured only to the extent of external reporting. The level of reporting that could meet the information needs of the clients is best suited for such an organization. Medium sized organizations are run under direct supervision of the family members which rarely extends to segregation of duties and delegation of authority.

- Information Requirements of Medium Sized Organizations

As size of the organization increases, the importance of planning for information also increases. The planning on long-term basis also helps in monitoring of information against planning

iii) Large Organizations

Usually such organizations are characterized by large scale of operations. Various criteria can be used for this purpose.

- Number of employees
- Amount of turnover
- Number of branches
- Profit size
- Value of assets
- Number of businesses the organization is working in

With such large size of organizations, management structure needs to be multi- tiered for efficient and strong control. This leads to formulation of many departments, management levels, designations, promotional opportunities and salary increments.

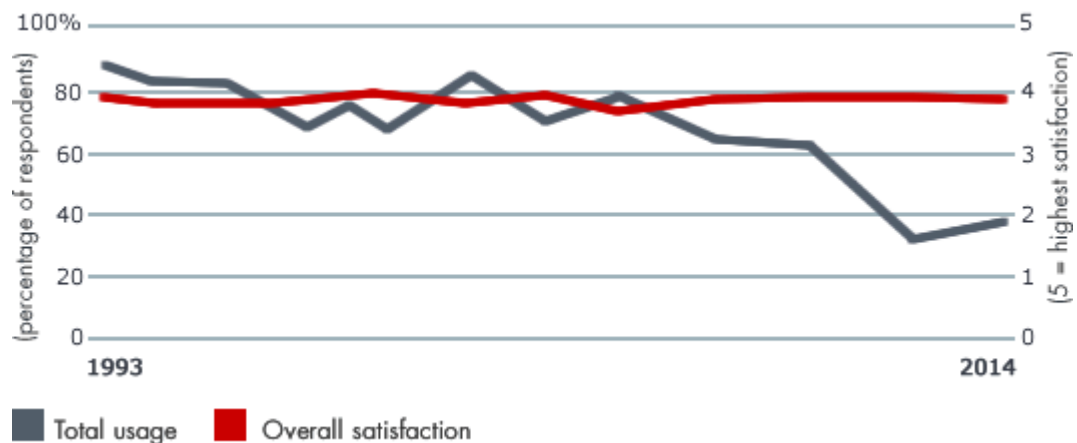
Example

- Public companies
- Information Requirements of Large Organizations

3. Mission and Vision Statements

A Mission Statement defines the company's business, its objectives and its approach to reach those objectives. A Vision Statement describes the desired future position of the company. Elements of Mission and Vision Statements are often combined to provide a statement of the company's purposes, goals and values. However, sometimes the two terms are used interchangeably.

Usage and satisfaction among survey respondents



3.1 How Mission and Vision Statements work:

A Mission Statement defines the company's business, its objectives and its approach to reach those objectives. A Vision Statement describes the desired future position of the company. Elements of Mission and Vision Statements are often combined to provide a statement of the company's purposes, goals and values. However, sometimes the two terms are used interchangeably.

3.2 Companies use mission and vision statements to:

Typically, senior managers will write the company's overall Mission and Vision Statements. Other managers at different levels may write statements for their particular divisions or business units. The development process requires managers to:

- Clearly identify the corporate culture, values, strategy and view of the future by interviewing employees, suppliers and customers
- Address the commitment the firm has to its key stakeholders, including customers, employees, shareholders and communities
- Ensure that the objectives are measurable, the approach is actionable, and the vision is achievable
- Communicate the message in clear, simple and precise language
- Develop buy-in and support throughout the organization

Mission and Vision Statements are commonly used to:

Internally

- Guide management's thinking on strategic issues, especially during times of significant change
- Help define performance standards
- Inspire employees to work more productively by providing focus and common goals
- Guide employee decision making
- Help establish a framework for ethical behavior

Externally

- Enlist external support
- Create closer linkages and better communication with customers, suppliers and alliance partners
- Serve as a public relations tool

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4. Strategy execution as a process.

The most notable book to date on strategy execution is *Execution: The Discipline of Getting Things Done*, by Larry Bossidy and Ram Charan. Bossidy, a retired CEO, and Charan, a renowned management consultant, make the case for execution as a discipline or “systematic way of exposing reality and acting on it.” They explain that “the heart of execution lies in three core processes”:

- People
- Strategy
- Operations

4.1 Strategy execution as a system.

The information presented in *Execution* is certainly useful, but the authors don’t fully explain how an organization can implement their three core processes to achieve strategy success. There have been significant advancements in this area since *Execution* was published in 2002. Management system which houses six sequential stages intended to help organizations capture what they call an “execution premium”—a measurable increase in value derived from successful strategy execution. They outline six stages in this system:

- Develop the strategy
- Plan the strategy
- Align the organization
- Plan operations
- Monitor and learn
- Test and adapt

4.2 Strategy execution as a step-by-step process.

Both of the models outlined above are important and anyone serious about the practice of strategy execution should be familiar with them, but they suffer from what might be called the “Goldilocks Problem.” The process view doesn’t contain enough detail to help managers construct the three processes within an organization. Conversely, the systems view contains so many sub steps that it can be overwhelming to managers.

So, how can we find a solution that is “just right”? While there is no easy answer, the best of both approaches can be synthesized into 10 steps outlined

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below. These steps provide both high level direction as well as the detail necessary to capture the lion's share of strategy execution success.

Step 1: Visualize the strategy. One of the most pressing challenges in all of strategy is simply understanding what a strategy is. An effective way to improve this understanding is to visualize the strategy via an illustration that shows both the important elements of the strategy and how each relates to one other.

Step 2: Measure the strategy. Key elements of the visualized strategy should be assigned an easily understood performance measure. The full set of strategic performance measures can be organized into a dashboard, a Balanced Scorecard, or some other framework so the reader can determine that progress is being made toward completion of the strategy.

Step 3: Report progress. In the same way that a budget is reviewed monthly to ensure financial commitments are being kept, the strategy should be reviewed regularly, but with more of an eye toward determining if the strategy is producing results, versus controlling performance.

Step 4: Make decisions. Strategy execution is much like sailing a boat toward a planned destination. A defined course and a full complement of navigational charts will never eliminate the need to remain vigilant, to assess the environment, and to make corrections as conditions change. As part of the regular reporting process leaders must make ongoing strategic decisions to keep the strategy current and on course.

Step 5: Identify strategy projects. Organizations may have scores, if not hundreds, of projects ongoing at any point, but they rarely have a firm grasp on the type and range of these projects. The first step in improving project-oriented strategy execution is to capture and

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organize all projects—strategy projects in particular—that are underway in throughout an organization.

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Step 6: Align strategy projects. Once projects are captured they must then be aligned to the strategies or goals for the organization. This step entails comparing each project, either proposed or ongoing, to the strategic goals to determine if alignment exists. Only those projects that directly impact the strategy should be resourced and continued.

Step 7: Manage projects. Organizations must develop a capability in project management if they are to execute strategy effectively. In some settings, projects receive very little management. In others, projects persist well beyond their scheduled completion. The full complement of projects in any organization should be coordinated and controlled by a central project office or officer with the responsibility for monitoring both progress and performance.

Step 8: Communicate strategy. It is difficult to execute strategy when the strategy itself isn't well understood, or performance relative to it is not communicated. Leaders must communicate their visualized strategy to the workforce in a way that will help them understand not only what needs to be done, but why.

Step 9: Align individual roles. Employees want to know they are making a meaningful contribution to their organization's success. It's up to senior leaders to ensure that employees at all levels can articulate and evaluate their personal roles toward achievement of specific strategic goals. This is perhaps one of the most critical aspects of the execution process.

Step 10: Reward performance. In strategy execution, as in any other area of management, what gets measured gets done. Taking this one step further, what get measured and rewarded gets done faster. After explaining the strategy and aligning the workforce to it, senior managers institute the incentives that drive behaviors consistent with the strategy.

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Strategy execution is difficult in practice for many reasons, but a key impediment to success is that many leaders don't know what is strategy execution or how they should approach it. Home-grown approaches may be incomplete if they fail to incorporate many of the basic activities highlighted above.

5. How to Establish an Organization

An organization is a goal-oriented, structured, planned and coordinated entity that's operated by two or more people. Organizations are usually nonprofit, and this nonprofit status is granted by the state in which the organization is located. Once an organization is granted nonprofit status, it may apply for a 501(c)(3) tax exemption. There are specific rules that apply to nonprofits and tax-exempt organizations. The organization's goals largely determine whether or not it will also enjoy tax-exempt status.

Step 1: Create your organization's mission statement. The mission statement describes why your organization exists. Suggests that an initial mission statement shouldn't be longer than half a page. Include who the primary beneficiary is and how it will be helped, the values that your organization believes in, and how you want your organization to be perceived.

Step 2: Verify that your beneficiary needs help and isn't served by another organization. Going through the trouble of starting an organization only to discover that the beneficiary doesn't need help is a waste of resources. Alternatively, if the beneficiary is already being served by another nonprofit, then you'll be forced to compete for market share -- and possibly damage the beneficiary in the process.

Step 3: Fund the nonprofit. You can either seek a sponsor or raise funds. If your sponsor has its own tax-exempt and tax-deductible status, then it can share them with you. Sponsors are useful if the organization doesn't have enough money to pay for the legal fees associated with filing for tax-exempt status. If you plan to raise funds, you'll need to file Articles of Incorporation with your state attorney general. You'll also need to open a bank account. If you plan to sell merchandise to raise funds, you'll need to apply for a sales permit.

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Step 4: Apply for tax-exempt or tax-deductible status if you're not sponsored by another nonprofit. Once you have established your organization in your state, you can apply for tax-exempt or deductible status with the Internal Revenue Service. Keep in mind that this process is often complicated.

SOALAN/QUESTION:

1. List four (4) and explain the element of strategy execution process.
(12 Marks)
2. List four (4) and explain the size of the organization requirements.
(12 Marks)
3. State four (4) strategy and explain the execution the business organization process.
(12 Marks)
4. State four (4) factor and explain how to establish an organization.
(12 Marks)

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